Country Compliance Report:

Belgium

Information class: Restricted

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Belgium, which will be used throughout the whole document.

Term	Explanation
Centralized e-invoicing	Where trading parties are required to transmit e-Documents to a predetermine infrastructure normally owned or maintained by the state. The infrastructure acts as an exchange engine, conducting mandatory checks, before delivering the invoice to the target receiver. The transmission path may be regulated, and additional requirements on the format, I&A (such as eSignature) may be necessary.
Hermes	Is a platform that converts any electronic invoice structured according to the European Standard into a PDF format and sends it to the recipient's e-mail address. It is used for B2B e-invoicing when the recipient cannot process a e-invoice.
IRM	Invoice Response Message provides businesses level responses. Essentially, a recipient of an invoice will notify a sender of an invoice as to whether they accept it. This response will also identify specific rejection reasons.
Mercurius	Is the software platform that Belgian government agencies use to receive and process e-invoices and other documents in UBL format.
MLR	Message Level Response provides a response occurring between service providers (C2, which is the sending service provider, and C3, the receiving service provider). This type of message is based on technical deviations or inconsistencies of the received e-invoice. It is referred to as "new" MLR.
Peppol	The Peppol Network is a logical network enabling secure and reliable exchange of Peppol Dataset Types between End Users via Peppol Service Providers.
Peppol Authority	The Belgian Peppol Authority (BOSA) is responsible for the registration of companies that wish to become an Access Point (AP) or a Service Metadata Publisher (SMP).

Post Audit	This model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called “e-documents”) directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure or how they should be issued or distributed. The tax audits are performed afterward.

2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Belgium, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• FPS Finance (Central Tax Authority) • FPS Economy (Business registry) • Mercurius (mandated platform) • BOSA DT (Peppol Authority) • Hermes B2B e-invoicing
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• General legal framework • Circular letter 14/2014 • Circular letter AFZ 2/2013 Circular Letter AFZ 2/2013 • The Royal Decree n° 1 The Royal Decree n1 • The Royal Decree n° 19 The Royal Decree n 19 • The Royal Decree n° 20 The Royal Decree n 20 • The Belgian VAT code • The Royal Decree of 9 March 2022 • All other notifications required under Belgian law

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• Different requirements apply to B2B and B2G e-Invoices
e-Invoicing model	• **B2G:** Centralized • **B2B:** Post Audit
e-Invoice definition[2]	• An electronic invoice that contains all required information as prescribed in the VAT-Code and the executive decisions, issued, and received by any electronic means. • An electronic invoice is defined as an invoice which is sent and received through an electronic format. No specific requirements on the format are imposed in Belgium
Scope of taxpayers the e-document mandate applies to	• Flemish and Brussels Region B2G suppliers need to send structured invoices. • Flemish and Brussels Region B2G buyers need to be able to receive structured invoices. • Contracting authorities belonging to **Federal governmental** bodies and entities for contracts >€135k • Wallonia region B2G suppliers are recommended to send structured invoices (PDFs not allowed but paper still allowed) from 01 January 2022. • November 2022: Public contracts and concessions with a minimum estimated value of EUR 215 000

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

Mandatory AoR (document response) process	• N.A.
Implementation / roll-out plan	• B2B mandatory e-invoicing implementation to be discussed. • Beginning November 2022, suppliers must send e-invoices to contracting authorities (**B2G**) in all regions in staggered approach as follows: • May 2023: Public contracts and concessions with a minimum estimated value of EUR 30 000 • March 2024: Public contracts and concessions with an estimated value of EUR 30 000 or below

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for a IT number in Belgium:

- Exemption for small businesses – None
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 11.200
- Application of the special scheme for distance selling (B2C) – EUR 10.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Belgium IT number format: BE0999999999 [10 digits following BE prefix]

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirement • The Belgian government has registered all private businesses in the Hermes platform so that they are able to process structured invoices.
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• It is recommended to agree upon a common standard with the parties involved
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit requirement

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• Recommended
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Not explicitly required (However Pager strongly recommends)
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• Not explicitly required
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Not explicitly required
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• Not explicitly required

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Belgium has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• Peppol-BIS	• N.a.
Other document format(s) commonly used for exchange between trading parties	• N.a.	• PDF, XML, Word
Mandated platform(s) required to have connection with for e-document processing	• Mercurius via PEPPOL	• N.a.
Other platform(s) relevant for e-document processing	• N.a.	• Hermes
Schematron(s), XSD schema or other official mechanisms ensuring document content	• PEPPOL schematron	• N.a.

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• BE:CBE (ID: 0208) - Current • BE:CBE (ID: 9956) - Former	• N.a.
Other technical aspects	• N.a.	• N.a.

5.2. Communication with Mercurius

Regulations in Belgium foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• AS4
Manual	• Mercurius web portal
Other options	• N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country.

B2G e-invoicing

Suppliers to public administrations in the Flanders and Brussels regions, as well as those suppliers countrywide (beginning November 2022) with public contracts and concessions totalling EUR 215.000,must send their documents to the mandatory platform Mercurius:

1. Supplier, directly or through a sending service provider (SSP) provides the e-document to Mercurius.
2. Mercurius after running technical validations (Peppol framework requirements), sends or make the e-document available for the contracting authority

The countrywide threshold will lower gradually. By November 2023, for all suppliers with public contracts totalling greater than EUR 3000, electronic invoices must be sent via the mandatory Mercurius platform.

B2B e-invoicing

There are no explicit technical process requirements on e-invoices issuance in Belgium, such as exchange with a predefined infrastructure, as B2B e-invoicing follows the post-audit model.

1. Documents are exchanged with the buyers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences.
2. The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as archiving requirements.
3. Neither document format nor exchange mechanisms are regulated

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

The sales invoice is an administrative document which contains all the information about the international sale. It is an evidence document of the sales that it has made in foreign markets. This document must contain information such as: The good sold, quantity, price for the products, delivery and payment conditions, as well as the taxes and other expenses that might be included in the sale.

E-invoicing is optional for international sales. They can also be in paper or PDF formats.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

This process is not explicitly regulated in Belgium.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

Foreign suppliers are in scope for the B2G e-invoicing mandate. However, it does occur that cross-bored invoices are received in other ways. The Belgium authority can't set requirements for foreign suppliers in addition to the rules described in the European standard. However, there is an expectation that suppliers will make use of the implementation of the standard made by Peppol.

5.5. AoR (response) process

Belgium has no explicit requirement for the buyer to provide a confirmation and/or notification that an e-Invoice has been received to the supplier. Invoice approval or rejection is not regulated either.

In Peppol, the message level (MLR) response is almost not frequently used. However, this may change as more document types come online. The main use case for the MLR is informing the sender of errors that are not caught by the transport layer validation, and if people are only sending invoices and credit notes, most of the errors get caught in the transport layer validation (because invoices are tightly regulated documents; catalogues involve many more bilaterally agreed conventions that can create errors).

The Belgian Peppol Authority (BOSA) has now gone live with IRM and MLR capabilities for both Mercurius (B2G E-Invoicing Platform) and Hermes (B2B E-Invoicing Platform) in 2022. The transition from “old” MLR to “new” MLR and IRM will span 8 months, requiring complete transition to “new" MLR and IRM expected by 16 November 2022.

- IRM, which stands for Invoice Response Message, provides businesses level responses. Essentially, a recipient of an invoice will notify a sender of an invoice as to whether they accept it. This response will also identify specific rejection reasons.

- MLR, which stands for Message Level Response, provides a response occurring between service providers (C2, which is the sending service provider, and C3, the receiving service provider). This type of message is based on technical deviations or inconsistencies of the received e-invoice. It is referred to as “new” MLR.

Belgium currently has an MLR in place, which can be referred to as “old” MLR. The issue with Belgium’s old MLR is that it erroneously provides both business and technical responses. The introduction of IRM and “new” MLR is meant to correct this, increasing compliance of e-invoice exchanges across the Peppol Network in Belgium.

*Pagero strongly urges our customers to enable IRM capabilities. Pagero will contact customers well in advance to enable these capabilities. As “new” MLR is managed between sending and receiving service providers, Pagero is responsible for MLR and assures no interruptions to our customer’s operations or established arrangements with Pagero.

*The “old” MLR process is not relevant for existing Pagero customers in Belgium.

5.6. Mercurius validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

The mandatory platform Mercurius does not perform any invoice validations. As long as the documents pass all the Peppol framework requirements, the document will reach the recipient.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

Parallel invoicing is allowed in Belgium. However, it should be clear which one is the original invoice and which one is the copy.

To distinguish duplicate invoices from originals, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Automated	• **B2G:** via PEPPOL • **B2B:** Allowed
E-mail distribution	• **B2B:** It is recommended that a dedicated e-mail address should be setup exclusively for this purpose and subject header to be standardized • **B2G:** Not allowed
Webportal	• **B2B:** Allowed • **B2G:** Allowed only if connected to Mercurius / PEPPOL
Push communication	• No explicit requirements
Pull communication	• No explicit requirements

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

If the taxable amount or VAT amount of a transaction changes for any reason (including errors or discounts), a correcting document – Credit Note – should be issued. Credit notes have to comply with standard invoice requirements, in addition should be mentioned:

- "BTW terug te storten aan de Staat in de mate waarin deze oorspronkelijk in aftrek werd gebracht" (in Dutch), or
- "TVA à reverser à l'Etat dans la mesure où elle a été initiallement déduite" (in French).

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note • Reference to the original invoice number is enough
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Where the customer paid a higher amount than the invoice amount, this is a mere payment error so no document requirement for VAT purposes.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Corrective document (with a reference to the respective invoice)
Other scenarios with different correction option	• N.a.
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• Yes • Mandatory for intra-community acquisitions and services received from abroad for which VAT is due by the recipient, if no invoice is received by the 15th day of the month following the tax point.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Allowed as long as it is clear which invoice is considered the original
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Allowed
Whether any conditions apply, and which, to the dematerialisation	• The technologies or processes used must guarantee the authenticity of the origin and the integrity of the content of the invoices.

Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Allowed
Whether any conditions apply, and which, to the materialisation	• The technologies or processes used must guarantee the authenticity of the origin and the integrity of the content of the invoices.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There is no contingency invoicing plan in the Belgium laws.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice • Credit note
Documents mandatory for issuance by buyer	• E-order (optional under B2G) • Invoice Response Message from public entities

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Yes

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Yes

Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

There is not any additional number to include in the invoice in Belgium.

6.3. Indirect tax (IT)[4] rates

This section illustrates the applied IT[5] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
21%	**Standard**	All other taxable goods and services.
12%	**Reduced**	Some foodstuffs; certain agricultural supplies; some social housing; some construction work on new buildings; restaurants (all beverages excluded); certain energy products e.g. coal, lignite, coke some pesticides and fertilizers; certain tyres and inner tubes for agricultural use.
6%	**Reduced**	Some foodstuffs, soft drinks, water supply, some pharmaceutical products; some medical equipment for disabled persons; domestic transport of passengers; some books (including e-books); newspapers and periodicals (with certain exceptions); entrance to cultural events and amusement parks; some social housing; certain repair and renovation of private dwellings; some agricultural supplies; hotel accommodation; admission to sporting events; use of sports facilities; intra-community and international road, rail and inland waterways transport; some motor vehicles (cars for the disabled); some social services; certain undertaker and cremation services; minor repairs (including bicycles, shoes and leather goods, clothing and household linen); firewood; food production; supply of electricity, natural gas, heating fuels and other heating system supplies.
0%	**Exempt**	Some newspapers, certain recycled materials, and by-products; intra-community and international transport (excluding road, rail, and inland waterways).

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Belgium. Please note

[4] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[5] Local name French: "Taxe sur la Valeur Ajoutée" (TVA). - Dutch: "Belasting Toegevoegde Waarde", (BTW)

that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No. Translation can be requested
Sequential numbering	• Yes, see section 6.2 above
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• Yes

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes, provided the legal address is mentioned as well
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply
IT identification number of the supplier in the country of establishment	• No, but recommended • This will be mandatory where a foreign supplier renders services or supplies goods where VAT is subject to Belgian VAT due by the customer under reverse charge and where the supplier does not have a Belgian VAT number.
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes. Only mandatory in case the supplier charges Belgian VAT on the invoice
Legal form of the supplier	• Yes
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• Yes
Place of legal seat of the supplier (Headquarters)	• Yes
Other supplier data	• Yes, in case the foreign supplier, registered for Belgian VAT via the appointment of an

	individual fiscal representative, makes use of the "direct billing method", i.e. issuing of invoices not via the fiscal representative, a reference should be made to "Direct invoicing according to Circular Letter nr. 4/2003".

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes. The name and address of the customer's fiscal representative are only mandatory in case the Belgian VAT is due by the customer under a reverse charge. The VAT identification number of the fiscal representative is not required in case it concerns an individual fiscal representative.
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date. If it is the same date following Notation has to be mentioned: "Invoice date is the date of supply/service."
Date of prepayment	• Only if it differs from the invoice date.

Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No, but recommended
Shipped from location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Shipped to location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended • Especially in case of cross-border transactions
Incoterms	• No, but recommended • Especially in case of cross-border transactions
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• No, but recommended
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• No, but recommended
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• Only the total VAT amount
Exchange rate (if the invoice is not issued in the local currency)	• No, but recommended
Which exchange rate must be applied in order of priority	• The exchange rate agreed between parties. • If no exchange rate is agreed: the exchange rates published by the European Central Bank or the National Bank of Belgium.
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• Yes

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• Local reverse-charge: "Reverse-charge – Art. 51§2, 5°/ Art. 5§1, 9° bis of Belgian VAT code" • Reverse charge for immovable work: "Reverse-charge – Art. 20 of RD n°1" • Intracommunity supply of goods: "VAT exempt based on article 39bis of the Belgian VAT Code / Article 138 EU VAT Directive 2006/112" • Intracommunity supply of general services: "VAT exempt based on article 44 and 196 EU VAT Directive 2006/112" • Exportation: "VAT exempt based on article 146 EU VAT Directive 2006/112"
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• Yes
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No

Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• EUR 100,00
Other supplies for which a simplified invoice can be issued	• If the commercial or administrative practices of a business sector or the technical conditions make it difficult to include all mandatory invoice references
Simplified invoices limited to certain type of supplies	• No
Simplified invoices not allowed for certain transactions	• Not allowed for: supplies with installation, distance sales, intra-Community supplies of goods, reverse charge transactions (i.e., transactions where the VAT is due by the customer).
Minimum content requirements on a simplified invoice	• Full legal name, full address and VAT number of the supplier • Invoice date and number • VAT number of the customer (name and address if does not have VAT number). • Date of issuance • Description of the goods/Services • Taxable amount and tax amount in a total amount - VAT rate applied • In case a corrective/additional document is issued: a reference to the original invoice and the specific indication of the amendment.
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by a non-established supplier on which IT is due by the supplier • Invoices issued by an established supplier that are taxable in another country but where IT is due by the customer • Invoices issued by an established supplier that are taxable in our country

(other) Invoices subject to the national invoice requirements (not self-bills)	• No

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Belgium, a credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Yes. Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No, but recommended
Reason for credit required	• No, but recommended
Other	• The following text needs to be mentioned on Credit Notes ("Tax to be repaid to the Treasury if deducted initially"): ◦ **DUTCH:** "BTW terug te storten aan de Staat in de mate waarin deze oorspronkelijk in aftrek werd gebracht" or ◦ **FRENCH:** "TVA à reverser à l'Etat dans la mesure où elle a été initiallement déduite"

Sequential numbering	
Separate sequential credit note numbering required	• Yes
Allowed to issue one credit note to correct different invoices	• Yes • Reference to the respective invoices (invoice number).

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction. There is no additional content to include in the e-invoices in Belgium.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirement as long as I&A is ensured. Explicit agreement strongly recommended.	• No explicit requirements as long as I&A is ensured.

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Minimun AES (Advanced Electronic Signature)
Automated e-signing	• Not explicitly required

Time-stamping of e-signature	• Not explicitly required

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Required
Time-stamping of validation data	• Not explicitly required

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice guaranteeing the legibility, integrity and authenticity of the document
Requirements to present stored documents in a specific audit format	• Paper or electronically
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[6]	• 7 years
Start point of retention period calculation for invoices not related to immovable property	• From 1 January following the date of the invoice and in pending cases till the end of the case
Retention period for e- invoices related to immovable property	• 15 years
Start point of retention period calculation for invoices related to immovable property	• From 1 January following the date of the invoice and in pending cases till the end of the case
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 25 years for documents (i.e. invoices, contracts, ledgers, etc.) relating to the construction or purchase of buildings or parts of buildings, with land attached, that are leased to tenants who exclusively use the building or part of the building for the

[6] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

	economic activity that confers on them the status of the taxable person, provided that the landlord and the tenant jointly opt to tax that lease, or relating to the acquisition of a right in rem in respect of such buildings or parts of buildings.
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• From 1 January following the date of the invoice and in pending cases till the end of the case
Outsourced archiving	• Allowed
Archiving abroad[7] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Permitted • No explicit requirements
Other requirements in relation to electronic document retention	• N.a.

[7] In certain situations, or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• No explicit requirements

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero’s General invoice processing and our standard country compliance investigation.

10.1. B2B Hermes

Since November 2020, those suppliers that want to send e-invoices to their buyers, even if there is not an agreement in place for sending e-invoices, can do so using the Peppol network.

All taxpayers in Belgium have been registered in Hermes and given a Peppol routing ID. Therefore, those invoices that are not otherwise directly routed to end recipients’ specific access points are routed through Hermes. Hermes will automatically transform the Peppol structured e-invoice into a human readable format (PDF) and send it to the buyer by email.

The issuer can decide the language of the e-invoice, being Dutch or French, as Hermes can process both languages.

If Hermes encounters difficulties or errors sending the invoice to the end recipient, the sender will be notified by a Peppol invoice response message on the failure of delivery. In case of any potential interruptions in the Hermes system, the users will be notified by BOSA, which is the Digital transformation organisation in charge of Hermes.
More information on the Hermes website.

10.2. Penalties for non-compliance

B2G transactions: As e-invoicing is regulated in the B2G sector public authorities will reject invoices that are not issued according to the mandate.

Contract documents may provide for the application of a special penalty for any failure to perform.

Any failure to perform for which no special penalty is provided gives rise to a general penalty:

• Single penalty for an amount of 7% of the initial amount of the contract with a minimum of forty euros and a maximum of four hundred euros, or

• Daily penalty for an amount of 2% percent of the initial amount of the contract with a minimum of twenty euros and a maximum of two hundred euros if it is important to immediately remove the object of the non-execution.

All breaches of the terms of the contract, including non-compliance with the orders of the contracting authority, are recorded in a report, a copy of which is immediately sent to the successful bidder by registered letter.

This penalty is applied from the third day following the date of deposit of the registered letter referenced above until the day on which the failure to perform has disappeared by the fact of the successful bidder or the purchaser who himself put an end to it.

B2B transactions: There is no e-invoicing mandate in the B2B sector. Therefore, there is not much clarity regarding penalties for the B2B sector. However, failure to comply with invoice requirements may be penalized. Penalties may range from 50 to 5,000 euro depending on the type and number of violations. Also, the VAT deduction could be refused if the e-invoice was not issued properly.

11. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. B2B document issuance (AR) through Hermes

(1) Supplier sends data in preferred format to PAGERO

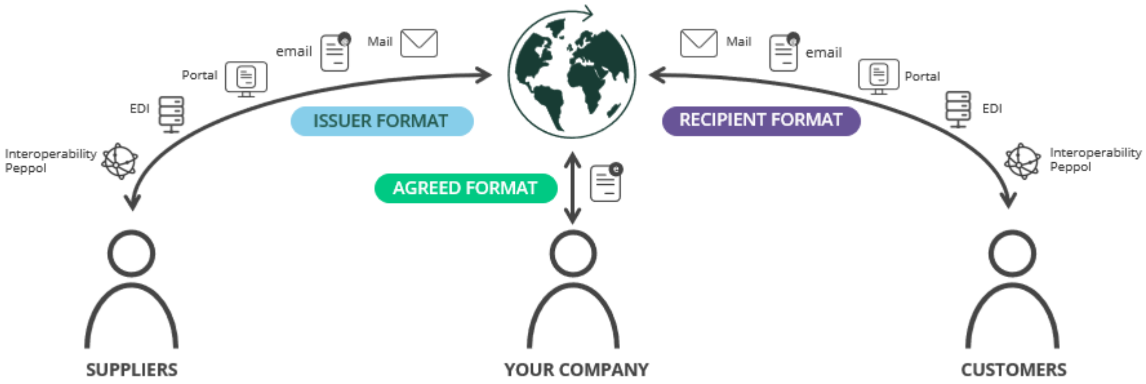
(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO sends the e-invoice through the Peppol framework to Hermes

(4) Hermes will automatically transform the receive e-invoice into a PDF and send it via email to the buyer

NOTE: This is the predefined way that PAGERO uses to send invoices to private entities in Belgium. However, if the suppliers do prefer to use another channel to send documents to the buyer, they can use any other exchange mechanism allowed in Post audit countries (explained in the following flow chart).

11.2. B2B Document issuance (AR) and reception (AP) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners

(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms

(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

11.3. B2G Document issuance (AR) with Pagero

1) Supplier provides data in supplier preferred format to PAGERO
2) PAGERO performs i.a.
    1) content validation,
    2) content enrichment and conversion,
    3) document format conversion,
3) PAGERO returns the finalized e-invoice to the supplier
4) PAGERO sends the final e-document to the receiving service provider (RSP) / buyer in a legally predefined format and according to a legally predefined exchange protocol
5) RSP/buyer sends the received e-document to the buyer in buyer format
6) - 8) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, which would be obligatory with respect to IRM (Invoice Response Message) capabilities

9) PAGERO archives all relevant document on behalf of the supplier

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
24 November 2020	Document created
05 November 2021	• Document moved to a new template • Section 5.3: Information related to Hermes added Section 10.1 added. Information related to Hermes
19 April 2022	Section 5.5: Information regarding IRM implementation and “new” MLR added
26 April 2022	Section 3: Information regarding B2G mandate staggered approach 2022-2023 added
12 October 2022	General review and update
27 July 2023	Section 10.2: Added info to penalties